

the technology sector, likely from companies such as Reliance Jio and Flipkart,” he says.

WHERE INDIA STANDS

The average daily equity trading turnover exceeds ₹1 lakh crore (\$12 billion), painting a healthy picture of liquidity in the system. Robust SIP inflows (₹25,000 crore per month), strong participation from domestic institutional investors and an expanding retail investor base show strong liquidity support.

Padiyath believes India’s capital market has demonstrated considerable resilience in accommodating large IPOs. “The robust participation from both institutional and retail investors in recent offerings indicates sufficient liquidity to support future mega IPOs.”

Agarwal of JM Financial Institutional Securities says market liquidity has shown resilience, with investors continuing to participate in IPOs. Retail investors’ shift fixed deposits to capital markets is also adding significantly to the liquidity.

ROLE OF FOREIGN INVESTORS

Despite robust liquidity, the role of foreign institutional investors, or FIIs, will be crucial. Mega IPOs require deep pockets, and global institutional investors, sovereign wealth funds and pension funds will play a critical role, say analysts. Padiyath says foreign investor participation is crucial. “Such large-scale offerings require substantial capital. FIIs play a pivotal role. Their involvement not only augments the capital base but also enhances credibility and global visibility of the IPO.”

Sharing her views on the role of FIIs, Agarwal says, “The liquidity for big IPOs is largely supported by strong domestic inflows. Foreign investors’ participation is crucial as it increases liquidity, diversifies investor base and leads to competitive pricing and market stability. FIIs bring deep pockets and long-term capital, which are essential for absorbing large issues.”

LIC’s \$2.69-billion IPO in 2022 faced challenges due to lower-than-expected FII participation, highlighting the need for foreign capital and favourable market conditions for large offerings. Appala believes a player like LIC, if it goes for a second round of divestment, could be a good candidate for a large primary market offering.

THE NEXT DECADE

Taking a step further, Appala believes that owing to the growth trajectory of Indian corporations and expansion of the economy, India could witness IPOs in the range of \$15-20 billion over the next decade.



“Considering the deepening markets, we could have a mega \$10-billion IPO in the near future, much earlier than one would expect”

MAHAVIR LUNAWAT
GROUP FOUNDER & MD,
PANTOMATH FINANCIAL
SERVICES GROUP



“Tech giants emerging in the telecom, e-comm, and the digital services space can easily command valuations for an issue size of \$10 billion in the coming future”

NEHA AGARWAL
MD & HEAD, EQUITY CAPITAL
MARKETS, JM FINANCIAL
INSTITUTIONAL SECURITIES

Padiyath of YES Securities seconds Appala. He says over the next decade, India could witness IPOs exceeding \$15 billion, especially from conglomerates or leading technology firms.

Achieving a \$10-billion IPO target is not without difficulties. India needs capital market reforms and more ease of doing business to encourage mega IPOs. Agarwal advocates simplifying listing requirements and enhancing corporate governance to make India more attractive for high-value IPOs. Streamlining regulatory approvals, reducing IPO processing time and supportive policies will boost market confidence. Is India ready? If one has to fall back on the age-old adage, where there is a will, there is a way. **BT**

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